ACF · Finance products and asset management — Question Patterns and Methods

Based on 14 past-exam parts, 2020–2025, their marking keys and the examiners' reports.

First: where marks are lost most

- Naming without describing. The key for long-term finance awards one mark per suitable source that is both identified and described (2022 EA Q22(c)). A list of names alone does not earn those marks.
- Cash strategies given as a bare label. In 2025 EA Q22(a) a relevant strategy that is only identified earns 1 mark; the full award needs it described.
- General statements about cash. The rubric for the importance discussion gives 1 mark for a general comment, and the higher marks need description, explanation and discussion of how cash supports viability.
- Later parts of extended answers. The Section Three report says the number of candidates attempting each part fell from part (a) to part (e), and that this may reflect poor time management rather than the difficulty of the questions. The evidence gives no marks-lost data for those parts.
- Single-answer multiple choice on internal versus external purpose. Distractors in the management versus financial accounting and finance-source items mix up audience, term or security. Each item is worth one mark. The keys are answer-only, so this point is inferred from the stems rather than from a report or a key criterion.

Pattern 1: Compare management and financial accounting

How often: 3/6 papers · 1.3 marks when it appears · 0.3% of a paper.

Recognise it: a stem that contrasts internal decision-making with external reporting. Typical signals are "focuses primarily on", "key document for internal reporting", "day-to-day", "external users", and "legal obligations and compliance". Options often include both a true purpose and a purpose that belongs to the other type of accounting.

Method

1. Identify the audience: managers making internal decisions, or outside users such as shareholders, creditors and regulators.
2. Identify the purpose: planning, coordinating and controlling day-to-day activity (management accounting), or general-purpose reporting to meet legal and compliance requirements (financial accounting).
3. Identify the output: budgets, forecasts and performance reports point to management accounting; the statement of financial position, statement of comprehensive income and statement of changes in equity point to financial accounting.
4. Choose the option that fits both audience and output. Reject any option that matches only one of them, such as an external statement offered as an internal tool, or external-only reporting offered as management accounting.

What the key rewards: one mark for the single correct option. The keys in the evidence are answer-only, so the award is simply the option that states the correct purpose for the stated audience (for example, a budgeted income statement as the internal document, or future financial expectations as the focus of management accounting).

Common errors: treating management accounting as year-end reporting; picking a formal financial statement as an internal decision tool; reversing the internal and external audiences. The evidence has no examiner report for this pattern, so these errors are drawn from the stems and keys rather than from a report.

Past questions: 2025 MC Q10, 2025 MC Q11, 2024 MC Q8, 2023 MC Q13

Pattern 2: Classify and select financing products

How often: 4/6 papers · 2.5 marks when it appears · 0.7% of a paper.

Recognise it: a request to identify, describe or select a source of finance. Signals include "short term or long term", "money market", "term loan", "bank overdraft", "supplier credit", "ordinary shares", "debentures", "trusts", "unsecured" or "no security over the loan", and "describe three types of long-term business finance".

Method

1. Classify by term: short-term sources (money market, overdraft, supplier credit) versus long-term sources (term loan, shares, debentures, notes).
2. Classify by security: whether the lender holds a claim over assets (secured) or does not (unsecured note).
3. Classify by ownership: equity (ordinary shares) versus debt (loans, debentures, notes).
4. Match the source to the need. Finance for non-current assets such as plant and equipment is normally long-term; a short-term surplus or working-capital gap points to short-term sources.
5. For description parts, give for each source: what it is, its term, its security or ownership, and one reason it suits the business in the stem. Three suitable sources earn three marks.

What the key rewards: for the multiple-choice items, the one option that matches the term, security or purpose in the stem (for example, a term loan for plant and equipment, or an unsecured note for borrowing with no security). For 2022 EA Q22(c), one mark per suitable long-term source that is identified and described, up to three.

Common errors: calling a money-market investment long-term; choosing ordinary shares as a short-term source; naming a source without describing it; confusing secured and unsecured borrowing.

Past questions: 2023 MC Q4, 2022 EA Q22(c), 2021 MC Q10, 2020 MC Q12, 2020 MC Q14

Pattern 3: Apply principles of asset and funding management

How often: 4/6 papers · 1.8 marks when it appears · 0.5% of a paper.

Recognise it: a stem about the principles of managing assets and capital. Signals include "appropriate level of equity capital", "undercapitalised", "overcapitalised", "insufficient equity", "investment in non-current assets", and "maintaining appropriate levels of investment".

Method

1. Name the principle the stem is testing: appropriate investment in non-current assets, or an appropriate level of equity capital.
2. Work out the consequence. A business that is undercapitalised may lack the funds to update non-current assets when they are needed. Insufficient equity can leave working capital inadequate and raise the risk of business failure.
3. For discussion parts, explain why appropriate asset investment supports growth, revenue, financing or operating capacity, and what happens when the level is too low.
4. Check that the answer treats the balance between assets and funding as the principle, rather than assuming that more investment or more of any one funding source is always better.

What the key rewards: for the multiple-choice items, the one consequence that matches the principle. For 2025 SA Q21(d) (4 marks), the key awards for a discussion of why appropriate non-current-asset investment supports growth, revenue, financing or operating capacity. The evidence lists only one award for this 4-mark part, so the rest of the rubric is not in the evidence; check the full key before relying on the split.

Common errors: assuming that continually increasing non-current-asset investment is a sound principle; mixing up undercapitalised with overcapitalised; treating less equity as a route to higher profitability. No examiner report is in the evidence for this pattern.

Past questions: 2025 SA Q21(d), 2024 MC Q3, 2023 MC Q12, 2021 MC Q9

Pattern 4: Explain cash requirements for business viability

How often: 1/6 papers · 4.0 marks when it appears · 0.3% of a paper.

Recognise it: an extended-answer part asking why cash matters to a named business's viability, followed by a request to describe strategies for managing its cash. The discussion and the strategies share the same part, so the marks are split between them (see Pattern 5).

Method

1. Note that the 8-mark part covers both the importance discussion and two strategies. The evidence does not give the mark split between them, so the strategies are covered in Pattern 5.
2. Open with the direct link: cash meets debts, wages and suppliers as they fall due, so a business can fail for lack of cash even when it is making a profit.
3. Explain how cash supports ongoing operations and the development of the business, using the named business from the stem.
4. Build to discussion: state the point, explain why it matters for viability, weigh the consequence of a shortage or surplus, and conclude.
5. Move to the strategies (Pattern 5) only after the importance discussion is complete.

What the key rewards: the rubric for the importance discussion gives 1 mark for a general comment, 2 for description, 3 for explanation and 4 for discussion.

Common errors: stopping at a general comment, which the rubric marks at 1 mark; discussing cash without linking it to the named business. The 2025 report notes only that more candidates completed Question 22 and gives no detail on errors, so this list is inferred from the rubric levels.

Past questions: 2025 EA Q22(a)

Pattern 5: Recommend cash-management controls

How often: 1/6 papers · 4.0 marks when it appears · 0.3% of a paper.

Recognise it: the second half of an extended-answer part asking for two strategies to manage a business's cash appropriately, in the 2025 part after a discussion of why cash matters. The part is also filed under Pattern 4.

Method

1. Choose a practical cash-management action that fits the business in the stem. The key accepts any relevant strategy.
2. Describe how it works: what the business does, how often, and who is responsible.
3. Connect it to the cash-management objective: keeping enough cash to meet obligations as they fall due while not holding idle cash.
4. Write two separate strategies, each fully described, so that each one earns its award.

What the key rewards: one award for each relevant strategy that is described. A relevant strategy that is only identified earns 1 mark; the evidence does not state the mark value of a fully described strategy.

Common errors: naming a strategy without describing it (1 mark only); strategies that do not relate to the cash position. The 2025 report gives no detail on errors, so this list comes from the award wording.

Past questions: 2025 EA Q22(a)